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Seamless AV

MONTHLY BUSINESS REVIEW

September 2026

Results, departments, spending, customers, cash and utilisation



Finance Operations Manager

AGENDA

Scope of this review

01 **Financial performance**
Profit and loss summary, revenue against budget, and the three year comparisons

02 **Departmental performance**
Every department's result for September 2026 and how it was made

03 **Operating expenditure**
Where the money goes: cost distribution, operating expense, labour and employment

04 **Customers and receivables**
Top ten customers, receivables and days sales outstanding

05 **People and utilisation**
Chargeable hours by department and the profit they produce

06 **Budget and outlook**
Revenue by month against budget, and what we do about it

Performance summary, September 2026

SUPPORT	EVENTS	VIDEO	INTEGRATION	CONSULTING	TOTAL
$243k	**$73k**	**$7k**	**$235k**	**$4k**	**$562k**
revenue	revenue	revenue	revenue	revenue	revenue
42% gross margin	78% gross margin	80% gross margin	10% gross margin	2% gross margin	33% gross margin
+$21k after overhead	**$(46)k after overhead**	**$(7)k after overhead**	**+$11k after overhead**	**$(21)k after overhead**	**$(42)k after overhead**
Behind budget by $5k	Ahead of budget by $7k	Behind budget by $10k	Ahead of budget by $176k	Behind budget by $20k	Ahead of budget by $148k

Revenue	Gross margin	Overheads	EBITDA	Break even needs
$562k	**33.4%**	**$230k**	**$(32)k**	**$549k**
budget $414k	last Sep 45.5%	budget $232k	budget $(107)k	running at $541k

The month in summary. September revenue exceeded budget by $148k, while EBITDA remained a loss of $32k. Support and Integration are the only departments covering their allocated overheads. The revenue variance arose almost entirely in Integration at a 10.1% gross margin, contributing turnover with very little profit. At the year-to-date gross margin of 38.9%, monthly revenue of approximately $549k is required to cover overheads, against a current average of $541k.

SECTION

01

Financial performance

The P&L for September 2026 and the year to date



Profit and loss summary, income

Line	Jul-26	Aug-26	Sep-26	YTD	YTD vs Budget	Var $	Var %
Total Income	**$459,049**	**$603,467**	**$561,945**	**$1,624,460**	**$1,996,110**	**($371,650)**	**(18.6%)**
Production	**$110,843**	**$268,942**	**$80,607**	**$460,391**	**$407,541**	**$52,850**	**13.0%**
Events	**$105,446**	**$241,371**	**$73,304**	**$420,121**	**$321,957**	**$98,163**	**30.5%**
Video	**$5,397**	**$27,571**	**$7,303**	**$40,270**	**$85,584**	**($45,313)**	**(52.9%)**
Consulting	**$112,803**	**$94,288**	**$238,389**	**$445,481**	**$845,384**	**($399,903)**	**(47.3%)**
Integration	**$112,803**	**$93,752**	**$234,858**	**$441,414**	**$608,676**	**($167,263)**	**(27.5%)**
Consulting	**-**	**$536**	**$3,531**	**$4,068**	**$236,707**	**($232,640)**	**(98.3%)**
Support	**$235,403**	**$240,236**	**$242,948**	**$718,587**	**$743,185**	**($24,597)**	**(3.3%)**
General Admin	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Other income	**$1,584**	**$861**	**$955**	**$3,400**	**-**	**$3,400**	**-**
Other Income	$1,584	$861	$955	$3,400	-	$3,400	-

COMMENTARY

At the year-to-date gross margin of 38.9%, monthly revenue of approximately $549k is needed to cover overheads. The current average is $541k.

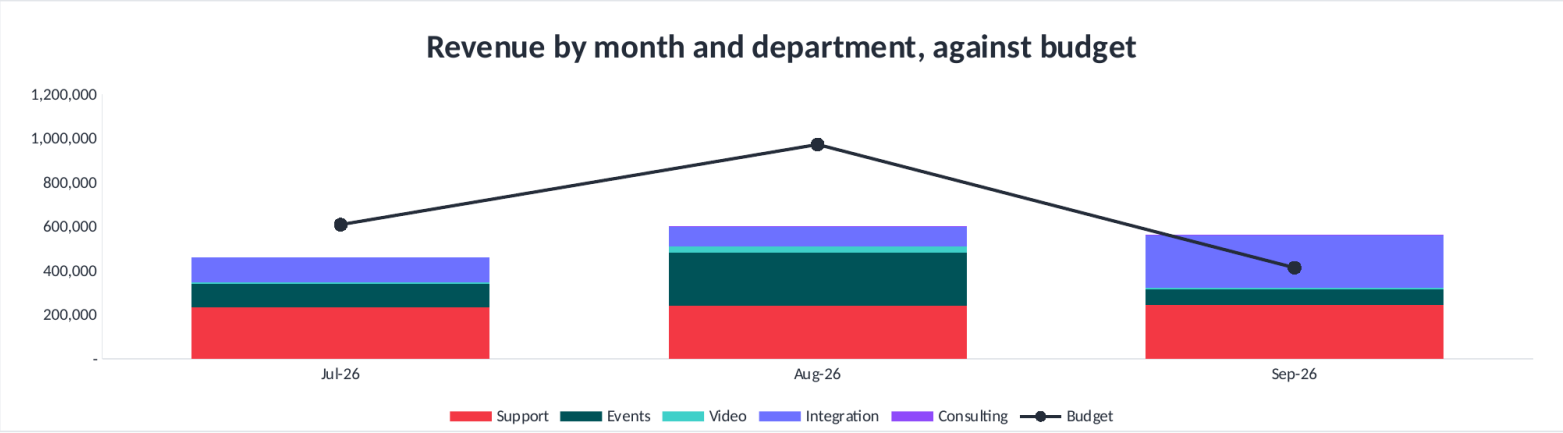
September revenue was $148k above budget, but EBITDA remained a loss of $32k.

Gross margin was 33.4%, compared with the 30.1% budget and 45.5% in September last year.

Overheads were $230k, slightly below the $232k budget.

Year-to-date EBITDA is $6k against a $223k budget. Our forecast should place greater focus on gross margin and profitability.

Monthly revenue by department



COMMENTARY

Revenue was $459k in July, $603k in August and $562k in September, $1,624k for the quarter.

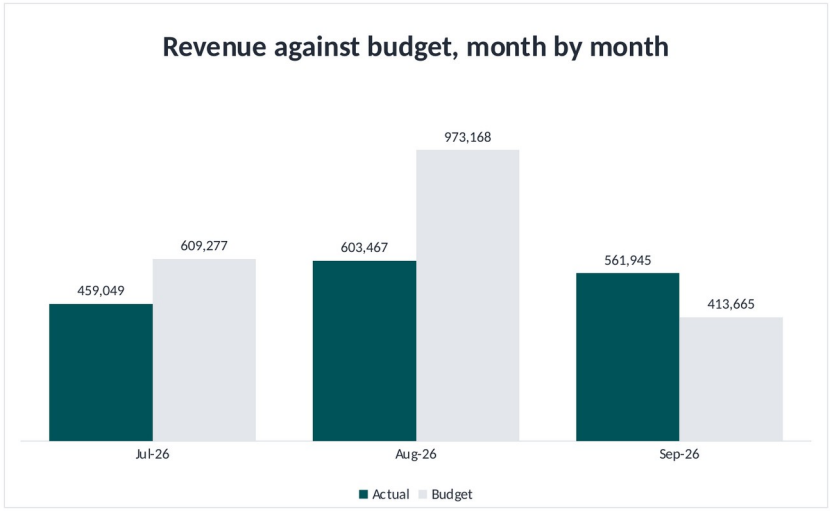
Budget for the same three months was $1,996k, so the quarter is $372k short.

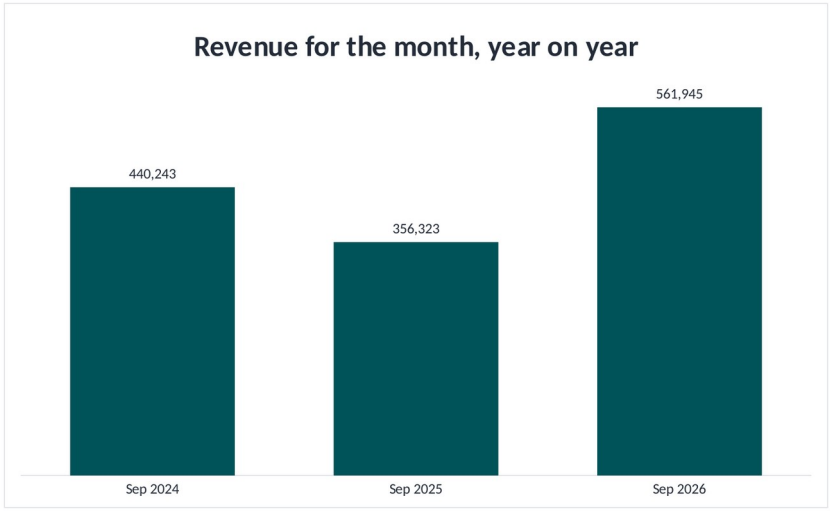
July and August were both well under budget. September came in $148k above it.

Support is the steady base at $235k, $240k and $243k.

September's movement is Integration at $235k against $94k in August, on project completion.

Revenue against budget and prior years





COMMENTARY

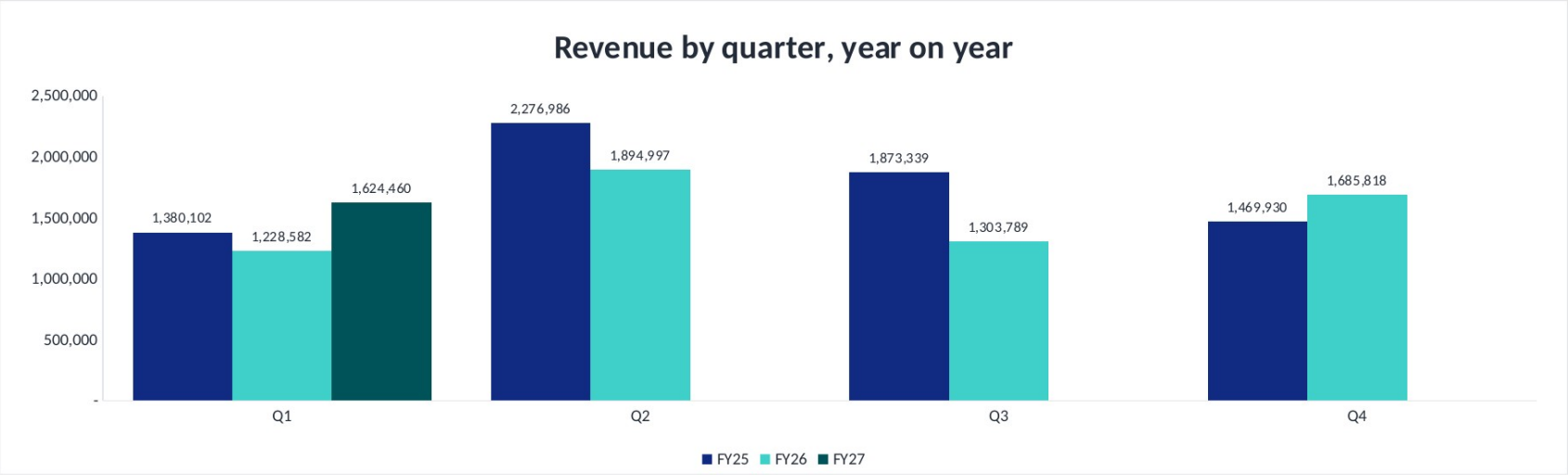
September billed $562k against a $414k budget, $148k ahead of it, and against $356k last September.

Year to date is $1,624k against $1,996k, short by $372k or 19%.

Almost all of that shortfall is August, which billed $603k against a $973k budget.

Against FY25 rather than the weak FY26, September is 28% ahead. That is the steadier read on growth.

Quarterly revenue, three year comparison



COMMENTARY

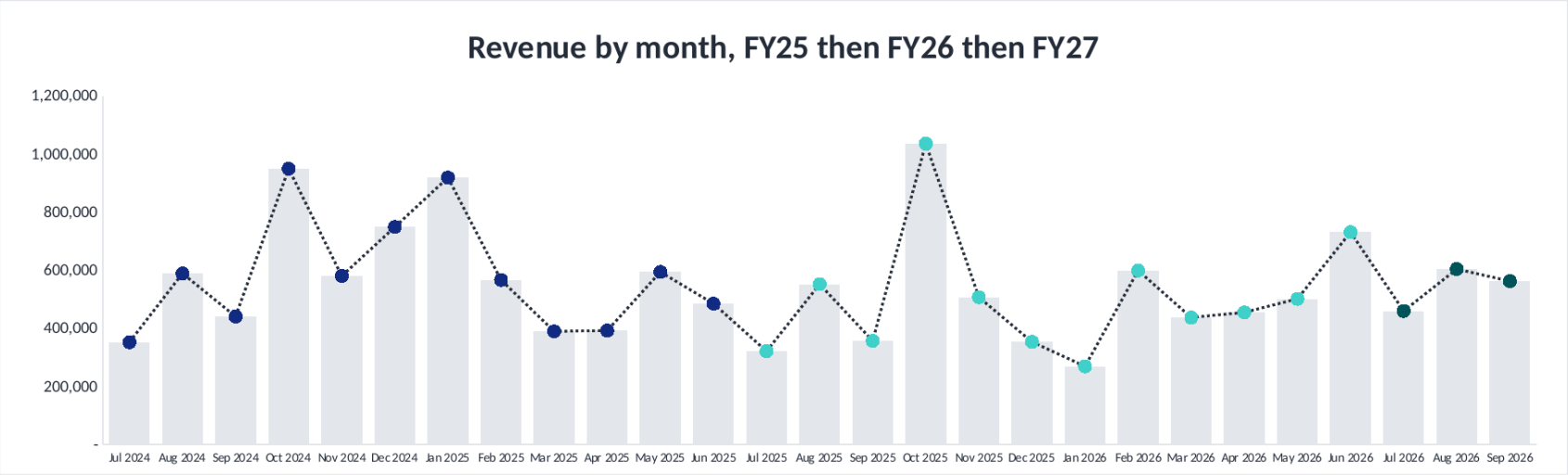
The first quarter was $1,624k, the strongest of the three years.

It is also the smallest quarter of the year. The second quarter carries about 32% of revenue.

FY26 lost its year in the third quarter: $1,304k against $1,873k, down 30%.

The second quarter is next and it decides the year. FY25 billed $2,277k in it, FY26 $1,895k.

Monthly revenue, three year history



COMMENTARY

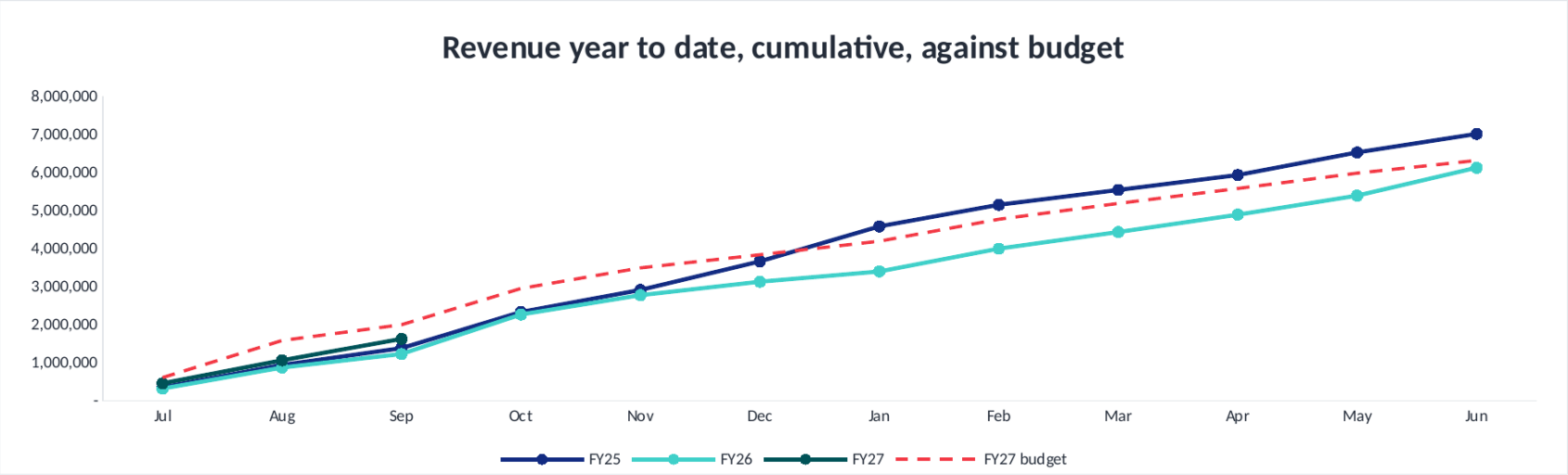
Thirty six months of revenue, from July 2024 through to September 2026.

FY26 was the softer year at $6,113k against $7,000k, and it was down in both halves.

The largest single swing is January: $918k in FY25 against $269k in FY26.

October carries the year. It was $949k in FY25 and $1,036k in FY26, and FY27 has it budgeted at $950k.

Year to date revenue against budget



COMMENTARY

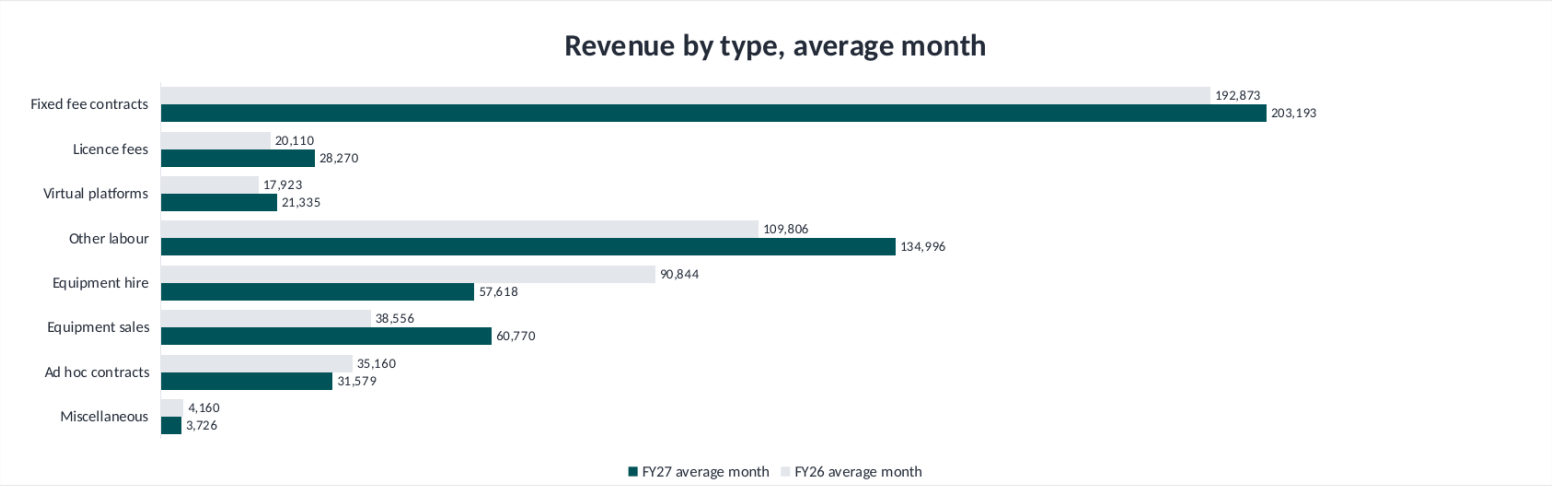
Year to date revenue is $1,624k, ahead of both completed years at this point in the year.

It is $372k or 19% behind budget. Almost all of that opened in August, and September closed $148k of it back.

FY26 lost its year in December and January, $1,045k behind FY25 across those two months.

The full year budget of $6,305k is itself 10% below what FY25 actually billed.

Revenue by type, average month



COMMENTARY

Revenue averaged $541,487 a month against $509,432 last year.

Recurring income grew $21,892 a month, project work $10,163.

Equipment hire fell $33,227, the largest single move on the page.

Equipment sales rose $22,215 and other labour $25,190.

Profit and loss summary, cost and profit

Line	Jul-26	Aug-26	Sep-26	YTD	YTD vs Budget	Var $	Var %
Cost of Sales	$282,514	$335,516	$374,130	$992,160	$1,083,717	$91,557	8.4%
Expenses Overheds	$202,398	$208,876	$230,233	$641,508	$689,692	$48,184	7.0%
Gross profit	$176,535	$267,951	$187,814	$632,300	$912,392	($280,093)	(30.7%)
Gross profit %	38.5%	44.4%	33.4%	38.9%	45.7%	(6.8%)	
Depreciation & amortisation	($5,000)	-	($9,982)	($14,982)	-	($14,982)	-
EBITDA	($20,863)	$59,074	($32,437)	$5,774	$222,700	($216,927)	(97.4%)
EBITDA %	(4.5%)	9.8%	(5.8%)	0.4%	11.2%	(10.8%)	
EBIT	($25,863)	$59,074	($42,419)	($9,208)	$222,700	($231,908)	(104.1%)
EBIT %	(5.6%)	9.8%	(7.5%)	(0.6%)	11.2%	(11.7%)	
Net profit	($24,280)	$59,936	($41,464)	($5,808)	$222,700	($228,508)	(102.6%)
Net profit %	(5.3%)	9.9%	(7.4%)	(0.4%)	11.2%	(11.5%)	

COMMENTARY

Year-to-date EBITDA is $6k against a budget of $223k, a shortfall of approximately $217k.

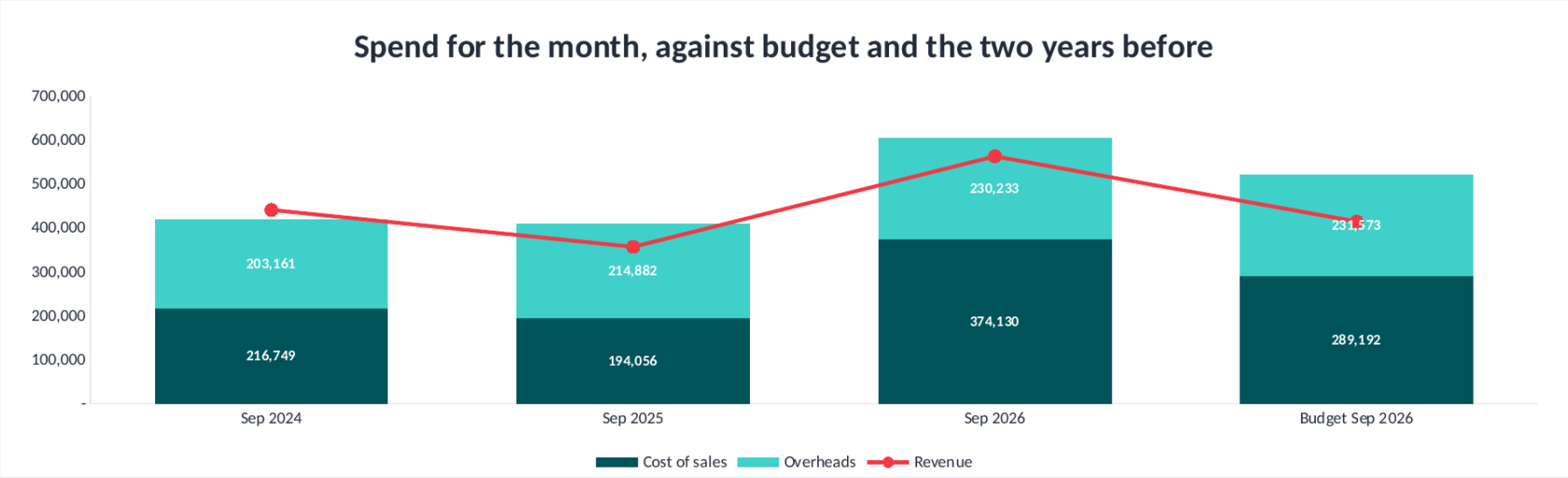
The first quarter accounted for 56% of the full-year EBITDA budget, making the current shortfall significant.

To achieve the $397k annual target, the remaining nine months would need to deliver approximately $391k, compared with the original $175k budget.

That requirement is around 1.7 times the EBITDA achieved in the whole of last financial year, making the annual target highly unlikely without a significant change in performance.

Revenue reached 81% of the year-to-date budget, while gross profit reached only 69%. Improving gross margin is a priority.

Monthly expenditure against budget



COMMENTARY

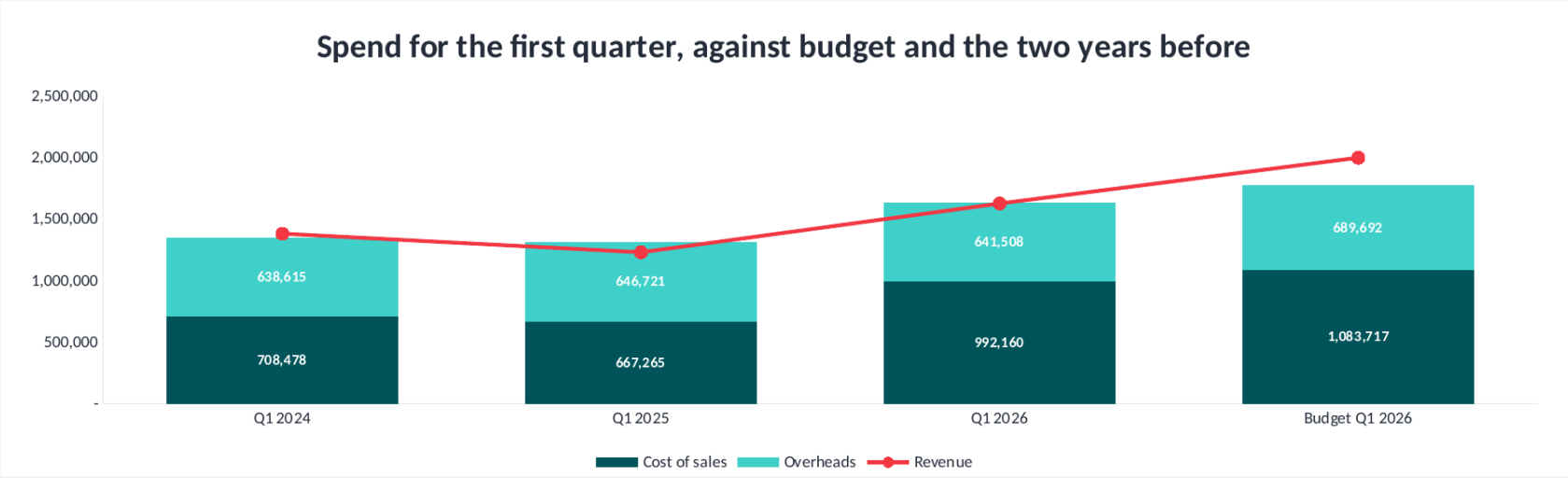
September spend was $604k against a budget of $521k, $84k over.

All of the overspend is cost of sales: $374k against $289k budgeted.

Overheads came in at $230k against $232k budgeted, which is on plan.

Spend is up 48% on last September and 44% on the September before.

Quarterly expenditure against budget



COMMENTARY

Quarter spend was $1,634k against a budget of $1,773k, $140k under.

Overheads have barely moved in three years: $639k, $647k and $642k.

All the movement is cost of sales, up $325k on last year to $992k.

Revenue sat above spend in Q1 2024 and below it in both years since.

Monthly net result, three year comparison



COMMENTARY

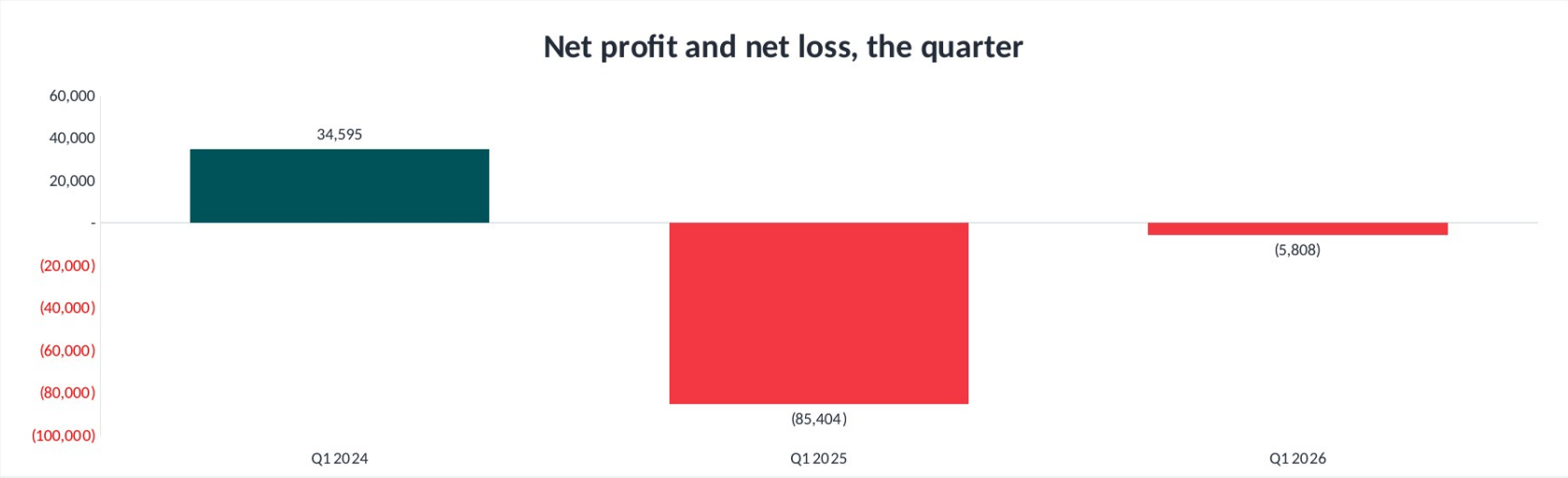
September lost $41k, against a $53k loss last September and a $21k profit the September before.

This September is $11k better than the same month last year.

Three Septembers and only one above the line, which is FY25.

September revenue was the highest of the three at $562k, so the loss is a margin problem rather than a revenue problem.

Quarterly net result, three year comparison



COMMENTARY

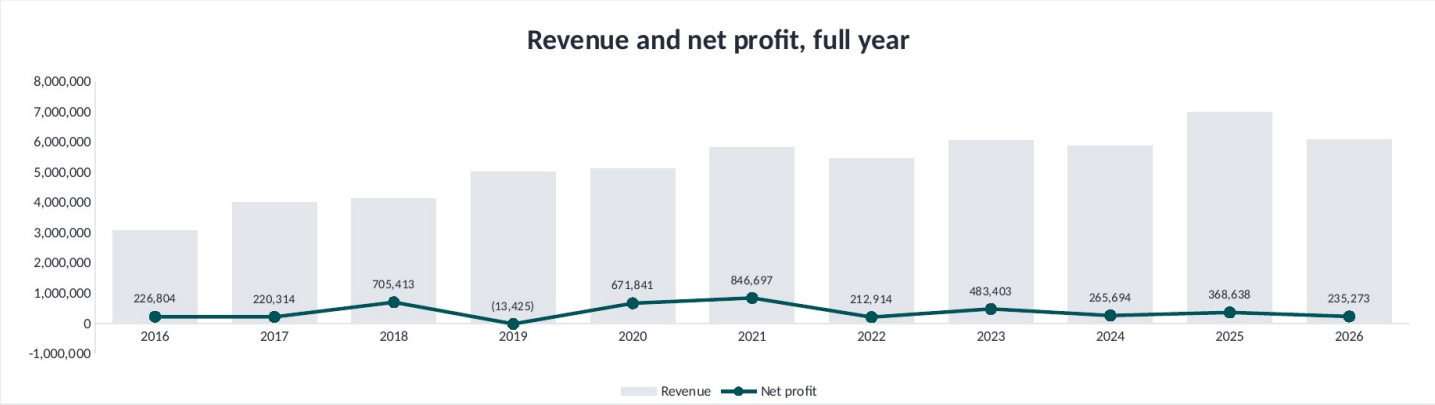
The quarter lost $6k, against a $85k loss last year and a $35k profit the year before.

That is $80k better than last year and within $6k of breaking even.

It is still $229k below the budget, which had the quarter at a $223k profit.

Quarter revenue was the highest of the three at $1,624k, so again the gap is margin.

Revenue and net profit, full year



COMMENTARY

FY2026 revenue was $6,113,186, down $887,171 on FY2025.

FY2026 net profit was $235,273, against $368,638 the year before.

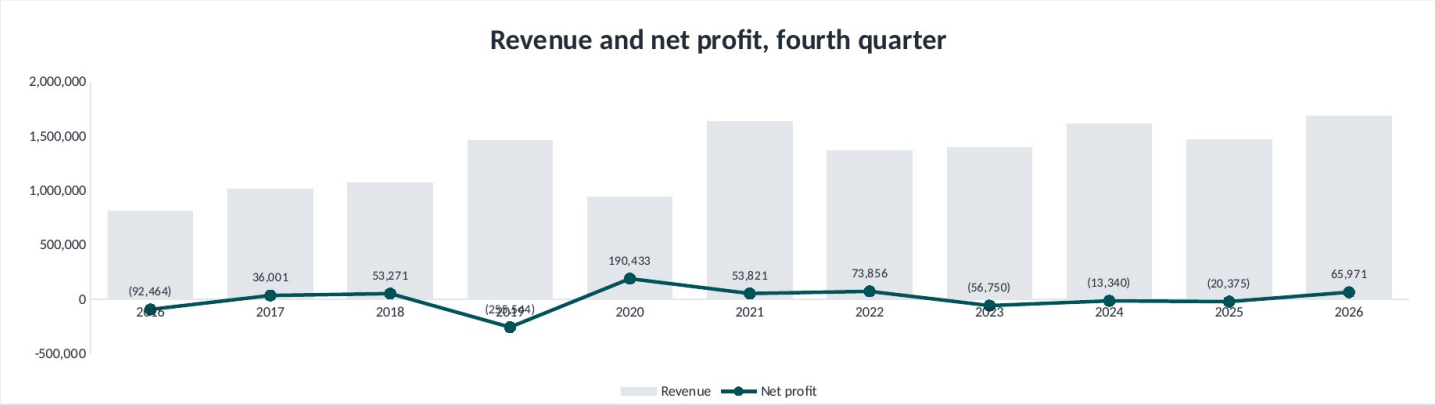
Net margin has sat between 4% and 5% in four of the last five years.

The two strong years on this chart are 2018 at 17% and 2021 at 14%.

Revenue has roughly doubled since 2016 while profit has not.

FY2026 ties to Actual FY26 in the controller pack to the cent.

Revenue and net profit, fourth quarter



COMMENTARY

Fourth quarter revenue was $1,685,818, the highest fourth quarter on this chart.

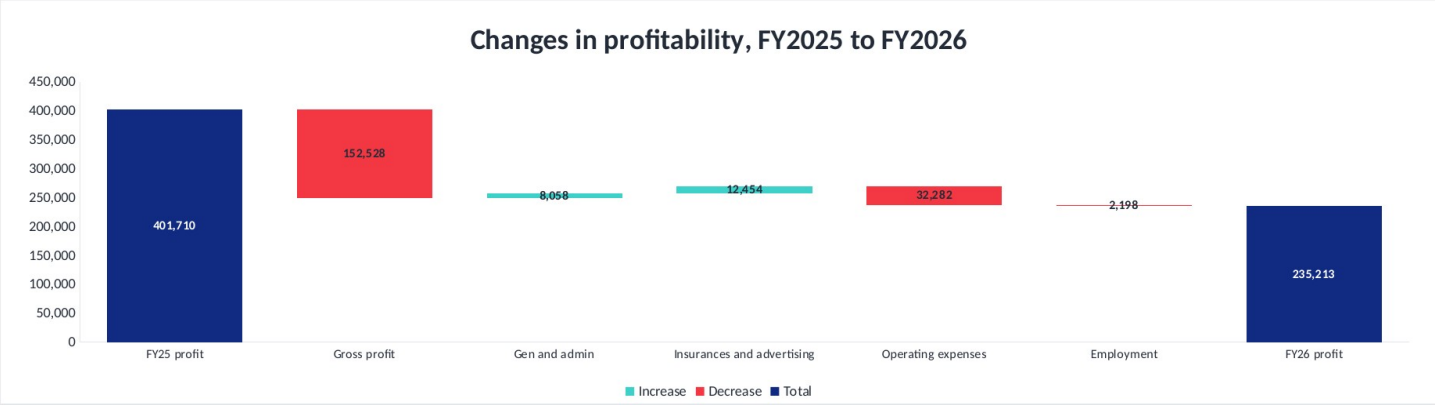
Fourth quarter profit was $65,971, the first positive one since 2022.

Four of the five fourth quarters before this one lost money or made less than 1%.

The worst was 2019, which lost $255,544 on $1,465,028 of revenue.

The best was 2020 at 20%, on the lowest revenue of the eleven years.

Changes in profitability, FY2025 to FY2026



COMMENTARY

Profit fell from $401,710 to $235,213, down $166,497.

Gross profit is the whole of it, down $152,528.

Operating expenses took another $32,282 and employment $2,198.

Gen and admin gave back $8,058 and insurances and advertising $12,454.

The two gains together recover $20,512, which is an eighth of the fall.

Nothing on the overhead side of this bridge comes close to the gross profit movement.

SECTION

02

Departmental performance

Every department's result for September 2026 and how it was made

Departmental result in full, September 2026

7. DEPARTMENT RESULT, THE MONTH ON SETUP

Department	Revenue	Budget	Var	Gross profit	Margin %	All overhead	Result
Support	242,948	248,017	(5,068)	101,290	41.7%	(80,458)	20,832
Events	73,304	65,828	7,476	56,881	77.6%	(103,377)	(46,496)
Video	7,303	17,498	(10,196)	5,813	79.6%	(12,440)	(6,626)
Integration	234,858	59,272	175,586	23,756	10.1%	(13,193)	10,563
Consulting	3,531	23,050	(19,519)	74	2.1%	(20,766)	(20,692)
Total	**561,945**	**413,665**	**148,280**	**187,814**	**33.4%**	**(230,233)**	**(42,419)**

COMMENTARY

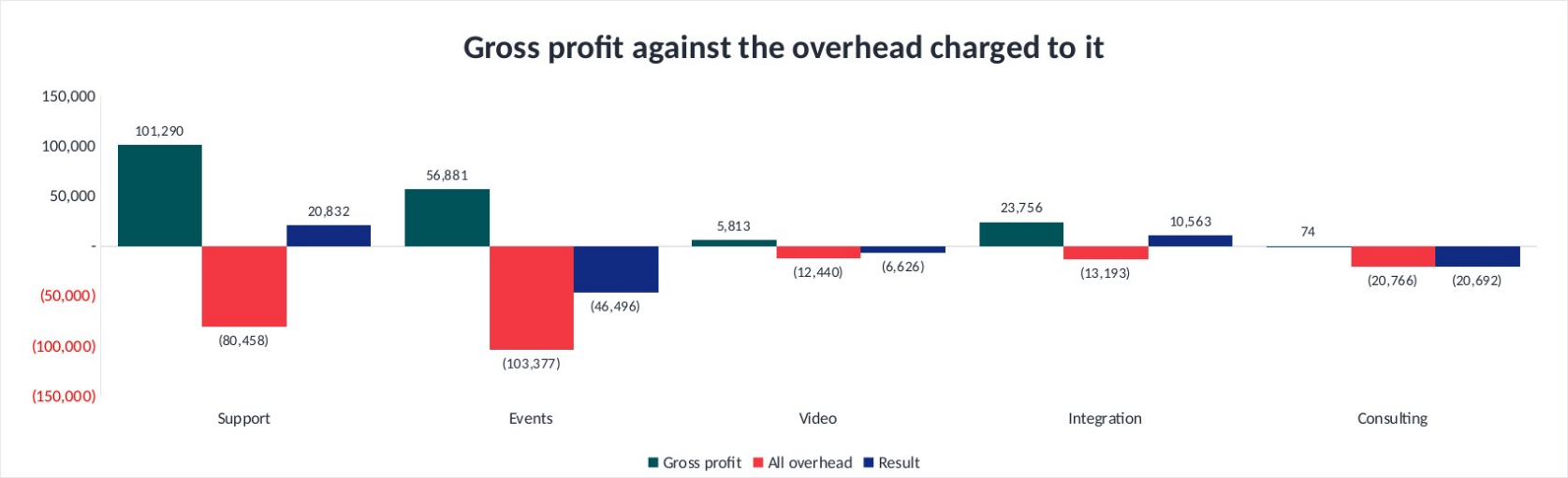
Support generated a $21k profit on $243k revenue after its allocated overheads.

Events achieved a 78% gross margin, but recorded a $46k loss after $103k in allocated overheads and $73k revenue.

Integration delivered $235k revenue against a $59k budget. A 10% gross margin limited the final profit to $11k.

Consulting generated $4k revenue against approximately $21k of overheads. Its operating model and cost allocation require review.

Gross profit against overhead, September 2026



COMMENTARY

Gross profit of $188k did not cover overheads of $230k. That gap is the $42k loss.

Only Support and Integration covered the overhead charged to them.

Events carries 45% of all overhead on 13% of revenue, so a 78% margin still ends in a $46k loss.

Consulting earned $74 of gross profit on $4k of revenue and carries $21k of overhead.

Results by reporting group, September 2026

8. THE THREE DEPARTMENTS, AS THE P&L GROUPS THEM

Department	Revenue	Budget	Var	Gross profit	Margin %	All overhead	Result
Support	242,948	248,017	(5,068)	101,290	41.7%	(80,458)	20,832
Production (Events and Video)	80,607	83,326	(2,719)	62,694	77.8%	(115,817)	(53,122)
Consulting (Integration and Consulting)	238,389	82,322	156,068	23,830	10.0%	(33,959)	(10,129)
Total	**561,945**	**413,665**	**148,280**	**187,814**	**33.4%**	**(230,233)**	**(42,419)**

COMMENTARY

The P&L groups Events and Video under Production, and Integration and Consulting under Consulting.

Support generated $21k profit on $243k revenue and is the only major group covering its allocated overheads.

Production achieved a 78% gross margin on $81k revenue, but recorded a $53k loss after $116k of overheads.

The combined Consulting group generated $238k revenue against an $82k budget. Its 10% gross margin contributed to a $10k loss.

Support, September 2026

Support	Sep 2026	Sep 2025	Var vs last year	Budget Sep 2026	Var vs Budget
Total Sales Revenue	**$242,948**	**$231,214**	**5.1%**	**$248,017**	**(2.0%)**
Labour	$127,769	$135,048	5.4%	$133,263	4.1%
Equipment & Services	$5,894	$1,265	(365.8%)	$2,214	(166.1%)
Transportation	-	-		-	
Other Direct Expenses	$7,996	$200	(3905.4%)	$65	(12262.3%)
Total Cost of Sales	**$141,659**	**$136,513**	**(3.8%)**	**$135,542**	**(4.5%)**
Gross Profit	**$101,290**	**$94,701**	**7.0%**	**$112,475**	**(9.9%)**
Gross profit margin	**41.7%**	**41.0%**	**1.8%**	**45.3%**	**(8.1%)**
Total Expenses	**$80,458**	**not split last year**		**$92,570**	**13.1%**
Net Profit/Loss	**$20,832**	**not split last year**		**$19,904**	**4.7%**
Net profit margin	**8.6%**			**8.0%**	**6.8%**

COMMENTARY

Support generated $243k revenue against a $248k budget, broadly in line with expected recurring contract income.

Gross margin was 41.7%, compared with 41.0% in September last year.

After $80k of allocated overheads, Support recorded a $21k profit.

Its allocated office wages were $43k, reflecting the established allocation method.

Chargeable utilisation reached 91.2%, above the 88% target and the strongest result across the groups.

Events, September 2026

Events	Sep 2026	Sep 2025	Var vs last year	Budget Sep 2026	Var vs Budget
Total Sales Revenue	**$73,304**	**$75,333**	**(2.7%)**	**$65,828**	**11.4%**
Labour	$13,038	$11,816	(10.3%)	$31,169	58.2%
Equipment & Services	$1,127	$14,631	92.3%	$44,162	97.4%
Transportation	-	-		-	
Other Direct Expenses	$2,258	$1,394	(62.0%)	$6,450	65.0%
Total Cost of Sales	**$16,423**	**$27,840**	**41.0%**	**$81,781**	**79.9%**
Gross Profit	**$56,881**	**$47,493**	**19.8%**	**($15,953)**	**456.6%**
Gross profit margin	**77.6%**	**63.0%**	**23.1%**	**(24.2%)**	**420.2%**
Total Expenses	**$103,377**	**not split last year**		**$88,014**	**(17.5%)**
Net Profit/Loss	**($46,496)**	**not split last year**		**($103,967)**	**55.3%**
Net profit margin	**(63.4%)**			**(157.9%)**	**59.8%**

COMMENTARY

Events generated $73k revenue against a $66k budget for September.

Gross margin was 77.6%, a strong result compared with other departments.

Despite this, Events recorded a $46k loss after $103k of allocated overheads.

Approximately $64k relates to shared overhead allocations. The allocation basis should be reviewed to confirm it appropriately reflects departmental activity.

The team recorded 333 hours of leave and 241 billable hours, highlighting reduced available delivery capacity.

Video, September 2026

Video	Sep 2026	Sep 2025	Var vs last year	Budget Sep 2026	Var vs Budget
Total Sales Revenue	**$7,303**	**$20,025**	**(63.5%)**	**$17,498**	**(58.3%)**
Labour	$1,489	$3,141	52.6%	$8,285	82.0%
Equipment & Services	-	$3,889	100.0%	$11,739	100.0%
Transportation	-	-		-	
Other Direct Expenses	-	$371	100.0%	$1,715	100.0%
Total Cost of Sales	**$1,489**	**$7,400**	**79.9%**	**$21,739**	**93.1%**
Gross Profit	**$5,813**	**$12,625**	**(54.0%)**	**($4,241)**	**237.1%**
Gross profit margin	**79.6%**	**63.0%**	**26.3%**	**(24.2%)**	**428.5%**
Total Expenses	**$12,440**	**not split last year**		**$23,396**	**46.8%**
Net Profit/Loss	**($6,626)**	**not split last year**		**($27,637)**	**76.0%**
Net profit margin	**(90.7%)**			**(157.9%)**	**42.5%**

COMMENTARY

Video generated $7k revenue against a $17k budget, marking a third consecutive month below plan.

Gross margin was 79.6%, the highest of the departments.

However, this produced only $6k in gross profit against approximately $12k of overheads.

The main challenge is the volume of billable work rather than the gross margin percentage.

Only 24.5 billable hours were recorded for September, indicating limited activity.

Integration, September 2026

Integration	Sep 2026	Sep 2025	Var vs last year	Budget Sep 2026	Var vs Budget
Total Sales Revenue	**$234,858**	**$21,421**	**996.4%**	**$59,272**	**296.2%**
Labour	$46,108	$2,198	(1997.5%)	$5,980	(671.0%)
Equipment & Services	$164,454	$13,591	(1110.1%)	$29,636	(454.9%)
Transportation	-	-		-	
Other Direct Expenses	$540	$269	(100.6%)	$478	(13.1%)
Total Cost of Sales	**$211,102**	**$16,058**	**(1214.6%)**	**$36,094**	**(484.9%)**
Gross Profit	**$23,756**	**$5,363**	**343.0%**	**$23,178**	**2.5%**
Gross profit margin	**10.1%**	**25.0%**	**(59.6%)**	**39.1%**	**(74.1%)**
Total Expenses	**$13,193**	**not split last year**		**$19,867**	**33.6%**
Net Profit/Loss	**$10,563**	**not split last year**		**$3,311**	**219.0%**
Net profit margin	**4.5%**			**5.6%**	**(19.5%)**

COMMENTARY

Integration generated $235k revenue against a $59k budget, largely from a completed installation project.

Gross margin was 10.1%, reflecting the high equipment and supplier costs associated with the work.

This resulted in approximately $24k gross profit, despite the strong revenue result.

After $13k of overheads, Integration reported an $11k profit.

Only 10 billable hours were recorded, indicating that the revenue was mainly driven by equipment supply rather than labour delivery.

Consulting, September 2026

Consulting	Sep 2026	Sep 2025	Var vs last year	Budget Sep 2026	Var vs Budget
Total Sales Revenue	**$3,531**	**$8,330**	**(57.6%)**	**$23,050**	**(84.7%)**
Labour	($60)	$855	107.0%	$2,326	102.6%
Equipment & Services	$3,298	$5,285	37.6%	$11,525	71.4%
Transportation	-	-		-	
Other Direct Expenses	$219	$105	(109.2%)	$186	(17.9%)
Total Cost of Sales	**$3,457**	**$6,245**	**44.6%**	**$14,036**	**75.4%**
Gross Profit	**$74**	**$2,085**	**(96.4%)**	**$9,014**	**(99.2%)**
Gross profit margin	**2.1%**	**25.0%**	**(91.6%)**	**39.1%**	**(94.6%)**
Total Expenses	**$20,766**	**not split last year**		**$7,726**	**(168.8%)**
Net Profit/Loss	**($20,692)**	**not split last year**		**$1,288**	**(1706.8%)**
Net profit margin	**(586.0%)**			**5.6%**	**(10588.4%)**

COMMENTARY

Consulting generated $4k revenue against a $23k budget, reflecting limited fee-generating activity.

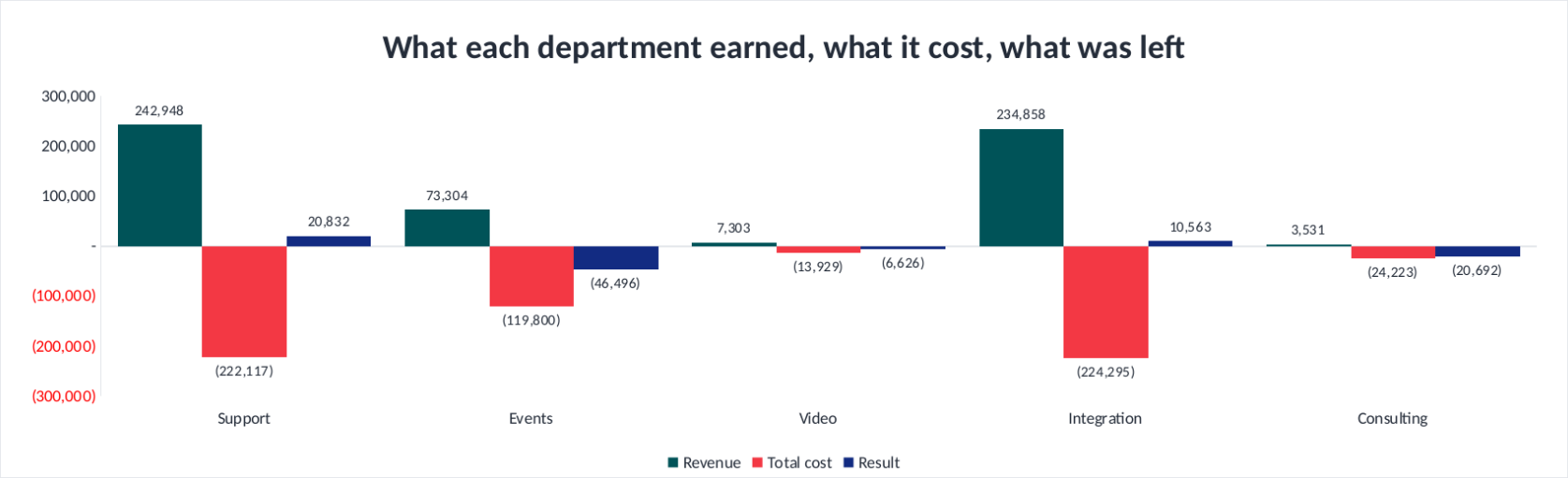
The department recorded a $21k loss after approximately $21k of overheads.

Non-billable activity totalled 84 hours, compared with 31 billable hours.

Year-to-date revenue is $4k against a $237k budget.

Management should review the department's future structure, capacity and commercial viability, including whether to rebuild or combine its activities.

Departmental profit and loss, September 2026



COMMENTARY

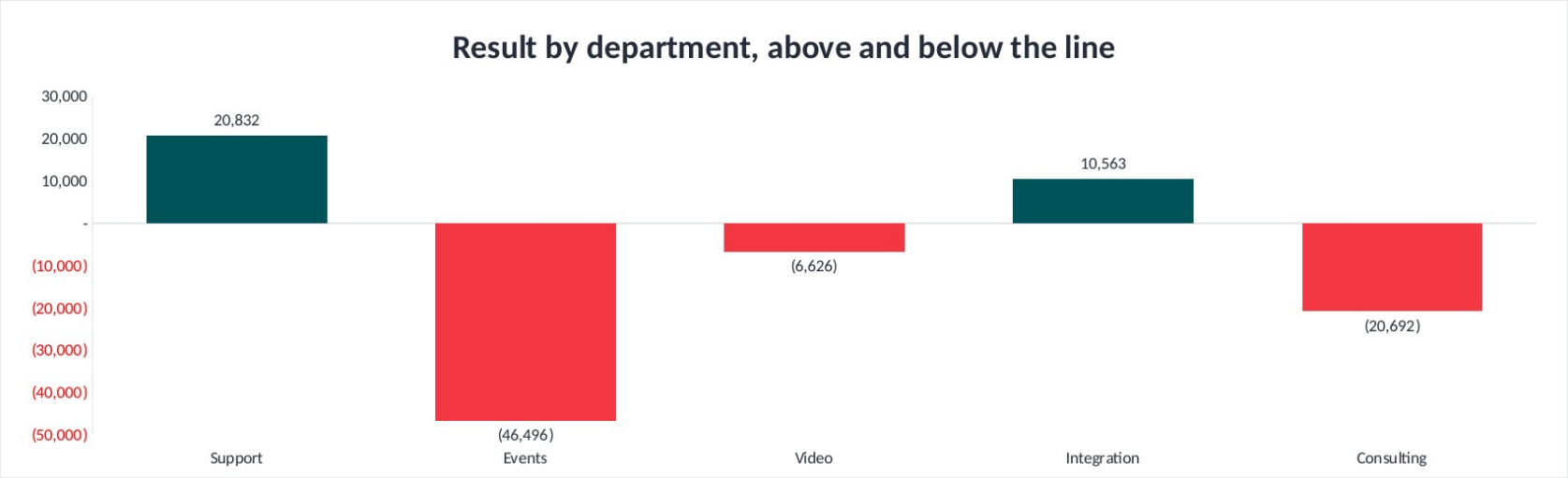
Support earned $243k, cost $222k and kept $21k.

Events earned $73k, cost $120k and lost $46k.

Integration earned $235k, cost $224k and kept $11k, the most work for the least return.

Across all five, $562k earned against $604k of cost. That is the $42k loss.

Result by department, above and below the line



COMMENTARY

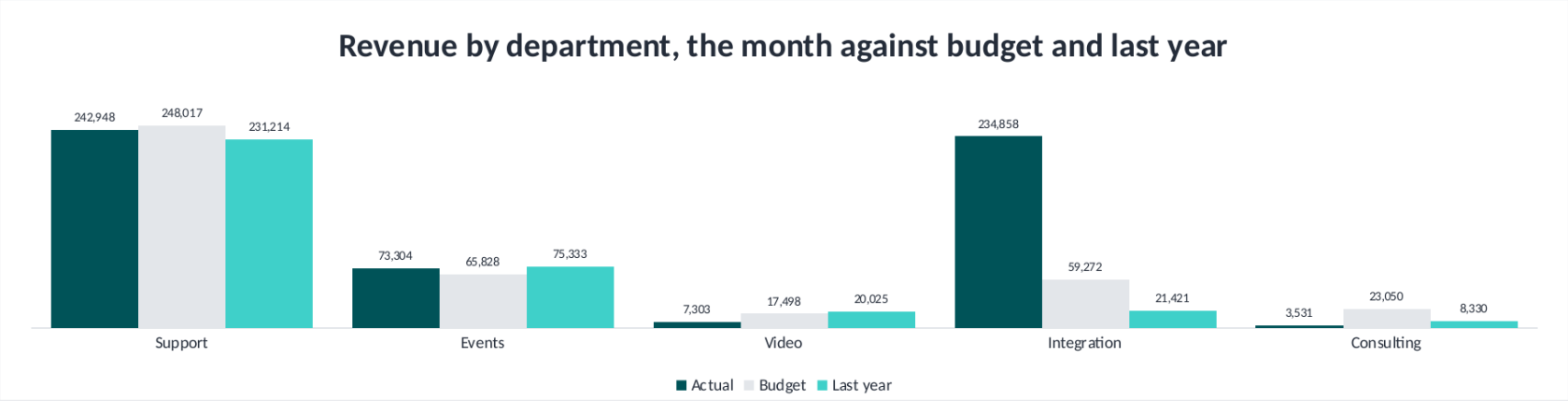
Two of the five made a profit. Support kept $21k and Integration $11k.

Events lost $46k, Consulting $21k and Video $7k. Together the five are the $42k loss.

All five made a gross profit. It is the overhead charged to them that puts three below the line.

Integration billed eleven times last September, but a 10% margin left only $11k after overhead.

Departmental revenue against budget and prior year



COMMENTARY

Integration generated $235k revenue against a $59k budget, mainly from a completed installation project. This result may not recur in October.

Support recorded $243k revenue against a $248k budget, remaining broadly in line with recurring contracts.

Events delivered $73k revenue against a $66k budget.

Video recorded $7k against $17k, and Consulting $4k against $23k. Both remain below budget for the third consecutive month.

Total revenue increased 58% against September last year, although the gross margin percentage declined.

SECTION

03

Operating expenditure

Where the money goes and which lines move



Operating cost distribution, year to date



COMMENTARY

Year-to-date direct labour costs total $621k, with a further $369k in employment overheads. Together, these represent a substantial share of total costs.

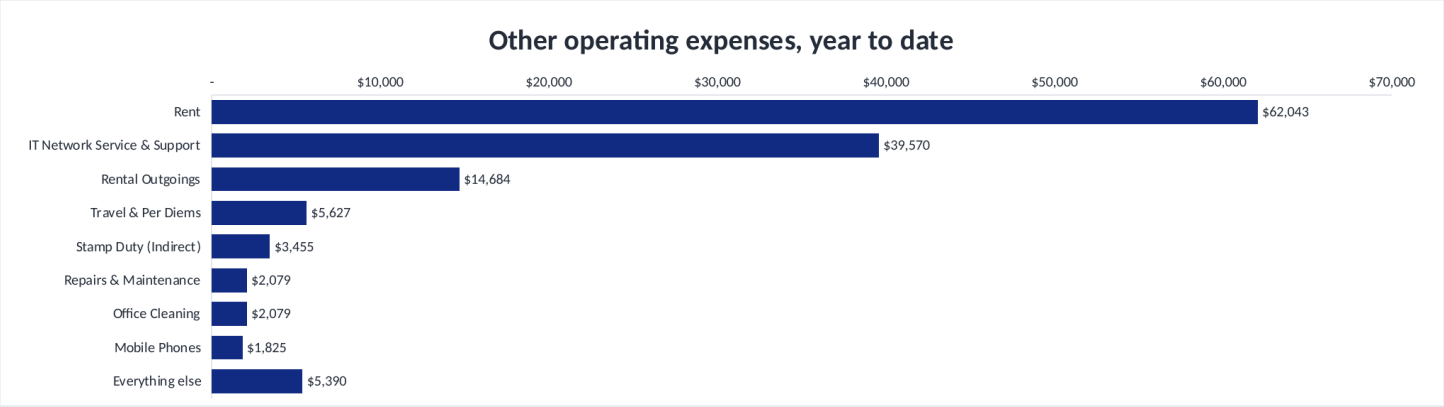
Labour is the largest cost category and has a major impact on profitability.

Much of the employment overhead is relatively fixed in the short term, even when revenue fluctuates.

Equipment and services costs of $347k are more closely linked to project activity.

Material cost reductions would require a review of staffing capacity, utilisation and premises costs, while maintaining service delivery.

Other operating expenses, year to date



COMMENTARY

Rent and property outgoings total approximately $77k year to date, making premises the largest expense in this category.

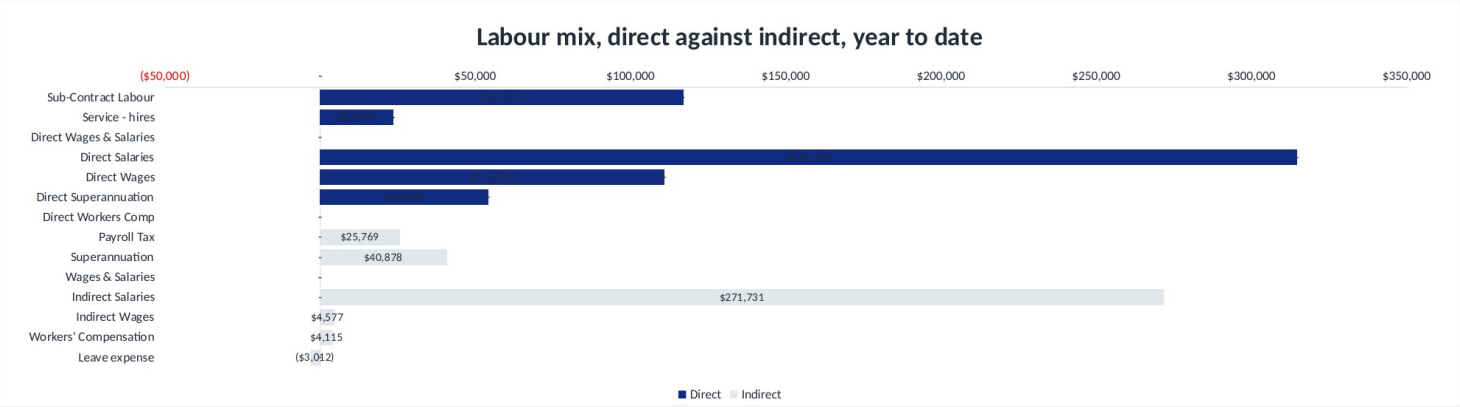
IT network support is the next largest cost at approximately $40k.

Most remaining individual categories are below $6k for the quarter.

Smaller expense reductions may help, but are unlikely to materially change overall profitability.

Any substantial saving in this category would require a review of premises and lease commitments.

Direct and indirect labour, year to date



COMMENTARY

Direct labour consists of employee costs and external contractors or service hires.

Employee salaries, wages and superannuation account for most direct labour costs.

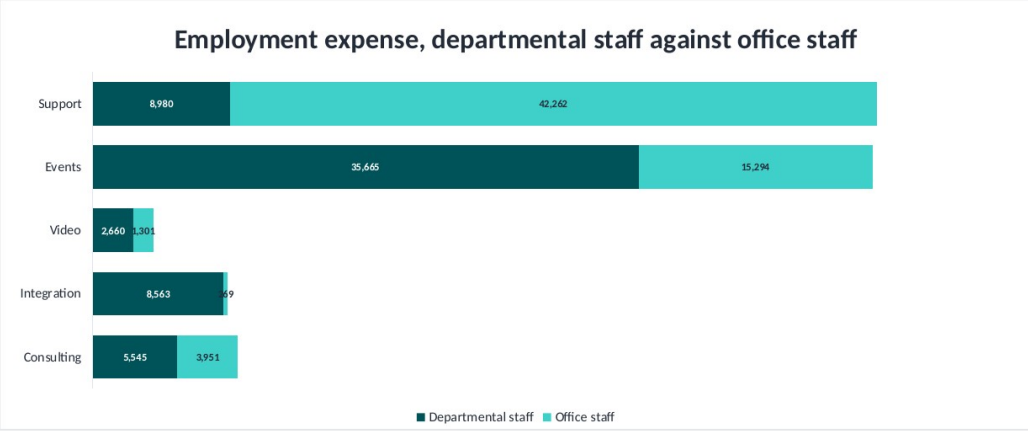
Contractor spending generally changes with project demand and resourcing requirements.

Reviewing contractor costs alongside staff utilisation will help identify opportunities to use existing capacity.

Improving the proportion of working hours that can be billed is important for protecting margins.

Employment expense by function

EMPLOYMENT EXPENSE SPLIT, THE MONTH ON SETUP		
Department	artmental staff	Office staff
Support	8,980	42,262
Events	35,665	15,294
Video	2,660	1,301
Integration	8,563	269
Consulting	5,545	3,951
Total	**61,413**	**63,077**



COMMENTARY

Office employment costs totalled $63,077 in September and were allocated across departments.

Support received approximately 67% of the allocation under the rolling-hours methodology.

Events incurred $35,665 in direct departmental employment costs, alongside $15,294 in allocated office wages.

Integration was allocated $269 in office wages, reflecting its comparatively low share under the allocation methodology.

SECTION

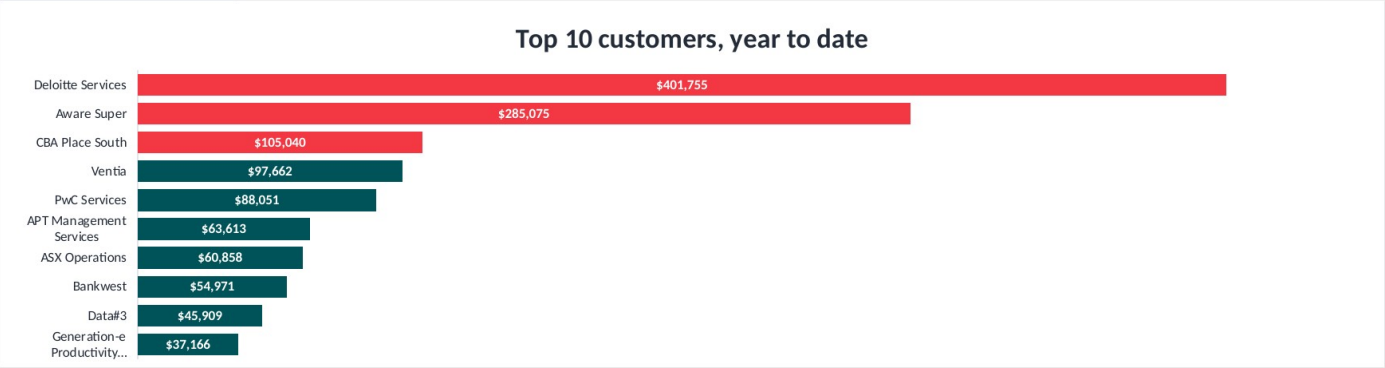
04

Customers and receivables

Who pays us, how much, and how slowly



Top ten customers by revenue, year to date



COMMENTARY

The top three customers account for approximately 49% of year-to-date revenue.

The top ten contribute 76%, leaving 24% from all other customers combined.

Deloitte Services represents approximately 25% of revenue at $402k, creating significant customer concentration risk.

Aware Super contributed $285k during the quarter, mainly from a one-off September project.

Revenue drops considerably beyond the largest customers, highlighting the importance of growing the wider customer base.

Debtor days and collection performance

THE CALCULATION	
Trade receivables at month end	$833,320
Revenue, this month and the two before	$1,624,460
Days in those three months	92
Revenue a day	$17,657
Days sales outstanding	47.2 days
Target	30
Days above target	**17.2 days**
Cash locked up above target	**$303,605**
Receivables at the target	**$529,715**

COMMENTARY

Days sales outstanding is 47.2 days, compared with a target of 30 days.

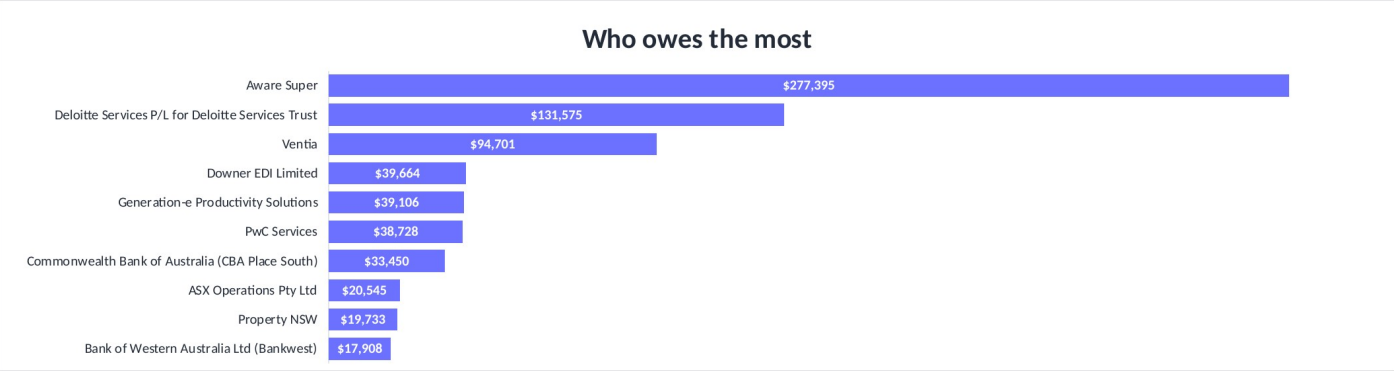
This represents approximately 17 additional days of revenue tied up in receivables.

At the current revenue rate, closing the gap could release approximately $304k in working capital.

Each day of improvement is equivalent to approximately $17.7k in receivables at the current sales rate.

Collections should remain a short-term cash-flow priority, with focus on larger outstanding balances.

Aged receivables by customer



COMMENTARY

Aware Super has an outstanding balance of $277k, representing 33% of total receivables.

Together with Deloitte Services P/L for Deloitte Services Trust at $132k, the two account for approximately 49% of receivables.

Overdue amounts total approximately $245k, or 29% of the debtor balance.

Collections efforts should prioritise these larger accounts while maintaining follow-up on other overdue invoices.

A targeted collections plan with clear owners and follow-up dates is likely to be more effective than a broad reminder process alone.

SECTION

05

People and utilisation

Chargeable hours and the profit they produce



Chargeable percentage by department, September 2026

CHARGEABLE PER CENT, THE MONTH ON SETUP

Person Group	Billable	Non-billable	Leave	Available	Chargeable %	Target	Over / under
Production	266.00	283.25	332.75	882.00	**30.2%**	67.0%	**-36.8%**
Consulting	40.25	81.50	53.00	175.00	**23.0%**	50.0%	**-27.0%**
Support	2,131.75		218.00	2,338.00	**91.2%**	88.0%	**3.2%**
Company	**2,438.00**	**364.75**	**603.75**	**3,395.00**	**71.8%**	**80.9%**	**-9.0%**

COMMENTARY

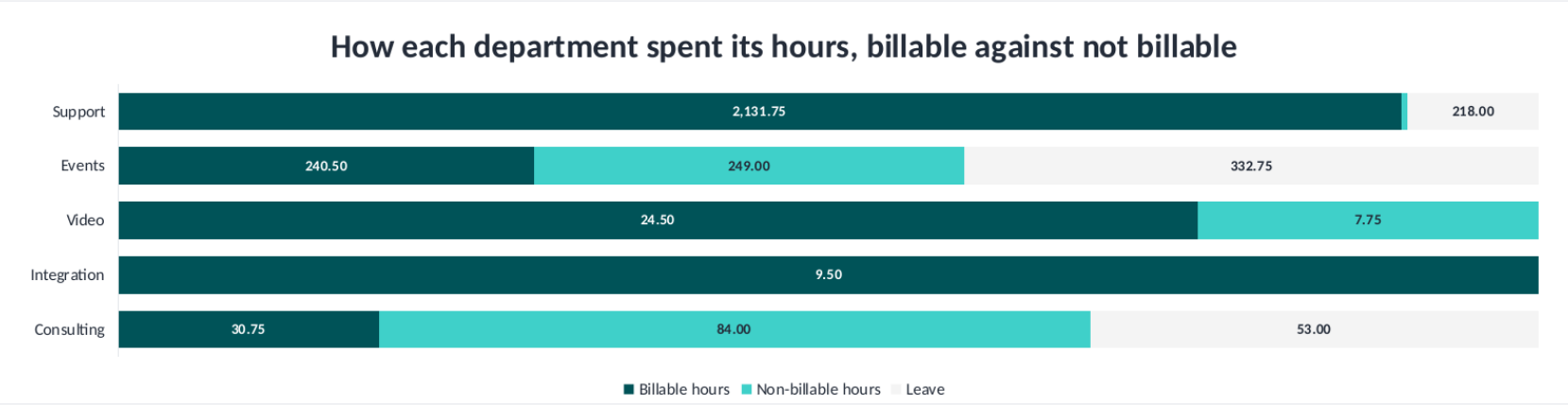
Chargeable utilisation is calculated as billable hours divided by workable business hours, including leave in the available-hours base.

Support achieved 91.2% against an 88.0% target, exceeding the target by 3.2 percentage points.

Production achieved 30.2% against a 67.0% target. Leave represented approximately 38% of its available hours.

Overall utilisation was 71.8% against an 80.9% target, a shortfall of 9.0 percentage points.

Hours mix by department, September 2026



COMMENTARY

Each bar shows the mix of hours within its own department, rather than comparing total hours between departments.

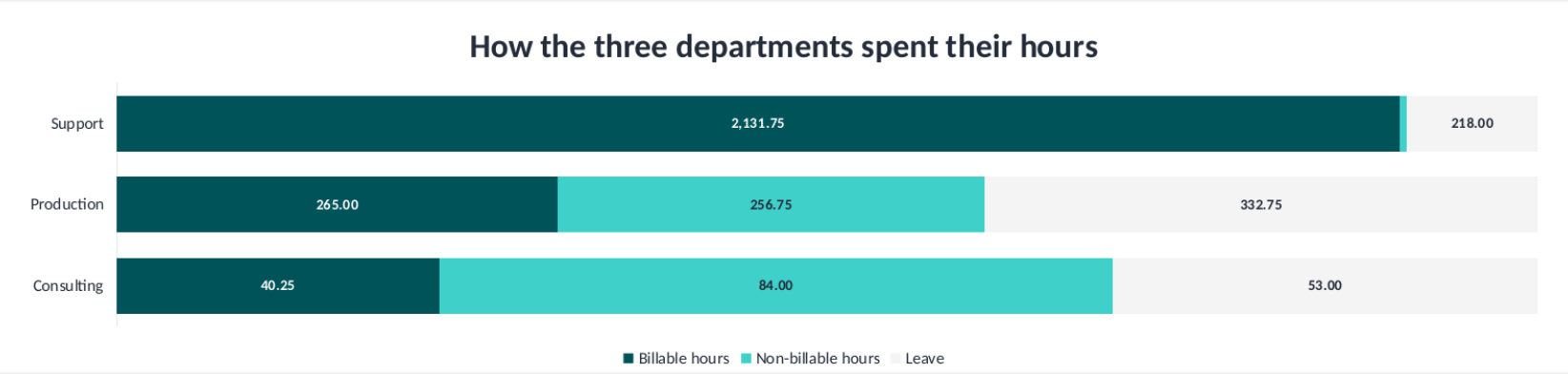
Support's hours were predominantly billable, supporting its positive financial result.

Events recorded 333 hours of leave and 241 billable hours, reducing its available delivery capacity.

Consulting recorded 84 non-billable hours compared with 31 billable hours.

The non-billable and leave portions highlight opportunities to improve workforce planning and billable utilisation.

Hours mix by reporting group, September 2026



COMMENTARY

This view combines Events and Video as Production, and Integration and Consulting as Consulting, consistent with the P&L.

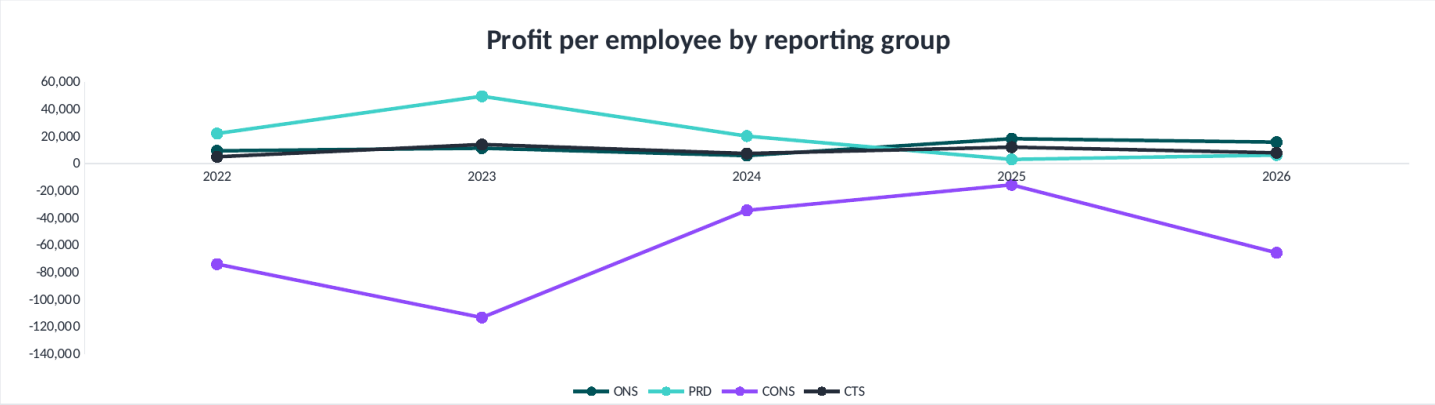
Production recorded 265 billable hours, 257 non-billable hours and 333 hours of leave.

Consulting recorded 40 billable hours and 84 non-billable hours, indicating low utilisation of available working time.

Support's hours were predominantly billable and supported the group's positive contribution.

Each bar is scaled separately, as Support has substantially more recorded hours than the other groups.

Profit per employee



COMMENTARY

ONS earned $15,687 a head, down from $18,222 the year before.

PRD recovered to $6,196 from $2,994, but is still a long way under the $49,461 it reached in 2023.

CONS lost $65,663 a head, its worst year since 2023 and four times the loss it made in 2025.

CTS overall earned $7,856 a head, down from $12,013.

CONS has not earned a positive figure in any of the five years on this chart.

Ratios against industry benchmarks

RATIOS AGAINST INDUSTRY BENCHMARKS

FY25 carries 245,872 of depreciation, 70,110 of interest and 67,606 of income tax. FY26 carries none of them. Every ratio below is struck before all four so the two years compare.

Utilisation and the chargeable split are from the utilisation report, as the Q4 FY2026 pack had them. The rest are from Xero.

Ratio	FY25	FY26	Change	Benchmark	Where CTS sits	Source
Gross margin	39.6%	42.8%	+3.2 pts	38.6% industry 2025	**Above**	D-Tools 2026
Overheads over gross profit	79.0%	91.0%	+12.0 pts	None published; 100% is breakeven	**9 pts from breakeven**	CTS
EBITDA margin	9.4%	4.1%	-5.3 pts	9.9% average, 15% expected	**Below range**	SPI 2026
Billable utilisation	79.0%	75.0%	-4.0 pts	66.4% average, 75% target, 79.5% top 20%	**At target**	SPI 2026
Overheads over revenue	34.0%	39.0%	+5.0 pts	High twenties per cent	**Above**	NSCA
Salary over revenue	48.0%	54.0%	+6.0 pts	None published	**Not comparable**	CTS
Chargeable labour	37.0%	33.0%	-4.0 pts	Part of salary over revenue	**Down**	CTS
Non-chargeable labour	11.0%	21.0%	+10.0 pts	Part of salary over revenue	**Up**	CTS

COMMENTARY

Gross margin is 42.8%, above the 38.6% the integrator benchmark reports for 2025.

EBITDA margin is 4.1% against a 9.9% professional services average, and against the 15% that benchmark treats as the expected level.

Overheads take 91% of gross profit. At 100% the company breaks even, so there are nine points of cover left.

Utilisation is 75%, which is the benchmark target and nine points above the 66.4% average.

Salary is 54% of revenue, up six points, and non-chargeable labour has nearly doubled from 11% to 21%.

No published benchmark was found for overheads over gross profit or for salary to revenue on comparable definitions.

SECTION

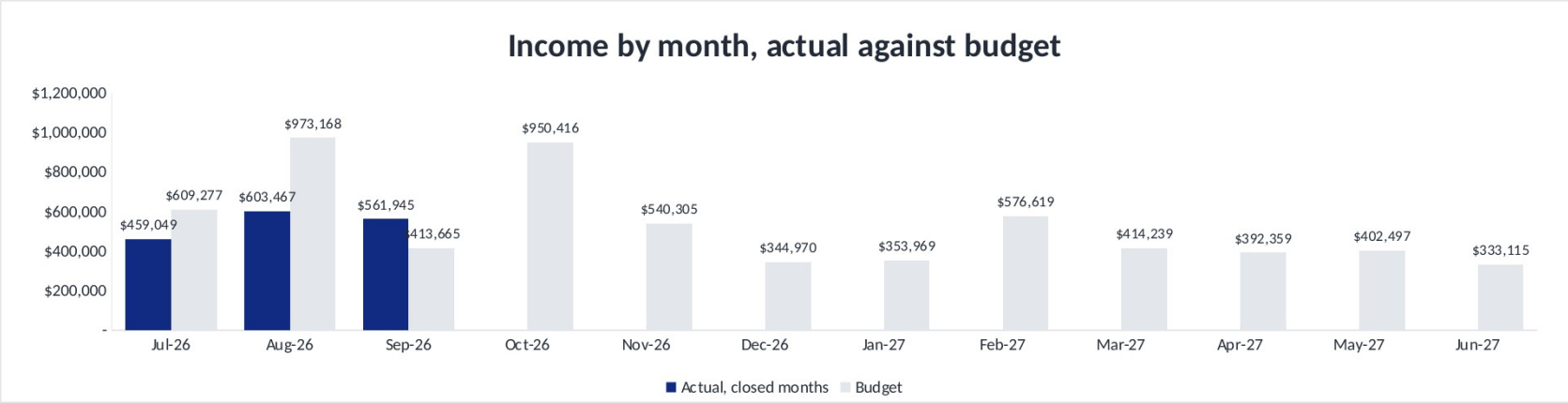
06

Budget and outlook

What the rest of the year looks like and what we change



Full year revenue against budget



COMMENTARY

First-quarter revenue was $372k below budget, with significant shortfalls in Consulting and Video.

October to June currently reflects the original budget rather than an updated forecast.

October revenue is budgeted at $950k, well above the highest actual month recorded so far this year.

December includes a planned loss reflecting the two-week business closure, which should remain in the revised assumptions.

Recommend preparing an updated rolling forecast using actual delivery capacity and achievable gross margins.

Recommendations and agreed actions

Area	Recommendation	Owner	Target date
P&L	That FY27 is reforecast on gross margin rather than revenue. At a 38.9% gross margin, break even requires $549k a month against the $541k currently being delivered.	GC and FOM	31 Oct 26
Overhead keys	Events carries $111k of overhead on $73k of revenue and cannot return a profit on that basis. I would suggest the keys are tested for FY28 and left unchanged within the current year.	GC and FOM	30 Nov 26
Consulting	$20k of running costs against $4k of fees. A decision on whether the department is rebuilt, combined with Integration or closed would be timely this quarter.	GC	30 Nov 26
Customers	The top three customers represent 48.7% of revenue. A named retention plan for each, with the growth target set on customers four to twenty, would reduce that concentration.	GC and Sales	14 Nov 26
Cash	Days sales outstanding is 47.2 days. Reaching 30 days would release $304k. Aware Super and Deloitte Services P/L for Deloitte Services Trust hold most of the balance.	FOM	24 Oct 26
Utilisation	Chargeable per cent is 72% against the report's own 81% target. Five additional points across Support and Production would be worth approximately $16k a month at no additional cost.	Ops and FOM	30 Nov 26
Leave	Production recorded 333 hours of leave on 882 available. Planning leave against the booking calendar would protect delivery capacity.	Ops	30 Nov 26

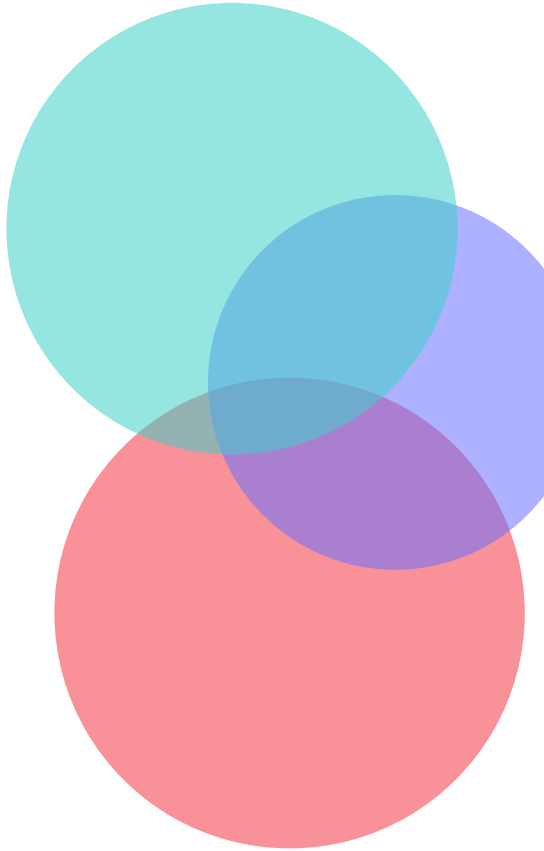
SECTION

07

Source documents

Everything in this pack comes from the files below

CTS Financial Controller Pack - 30092026.xlsx



cts

Seamless AV

Thank you

Questions and discussion

